

PROPER INSURANCE

Underwriting Requirements for Agents

Vacation Rental Insurance Program — Lloyd's of London & Concert

This guide summarizes the underwriting requirements and appetite for the Proper Vacation Rental Program. It is intended to help agents set expectations with clients during the sales process. These guidelines are not exhaustive — final risk acceptability rests with Proper's underwriting department. Items flagged below as unmet at time of binding will be returned to the agent and will hold up both commission payment and policy delivery.

PROGRAM OVERVIEW

The Proper Short-Term Rental (STR) program is designed for vacation rental properties and offers the following general risk parameters:

Liability

- Standard General Liability limits are \$1M per occurrence / \$2M aggregate.
- Clients may elect \$2M occurrence / \$3M aggregate for additional premium — no underwriting approval or additional requirements needed for this upgrade.
- Personal Liability (PL) coverage for the premises owner(s) can only be offered if the scheduled property is the owner's primary residence.

Property & Total Insured Value (TIV)

- Across the program, Proper can insure up to \$25,000,000 Total Insured Value.
- Risk over \$5M TIV requires additional review from the carrier.
- Risk over \$15M TIV can take up to 30 days to secure approval and rating — set client expectations accordingly.

Background, Bankruptcy, Arson & Fraud

- Background checks are not a program requirement.
- The binding application asks about arson, bankruptcy, and fraud history.
- A "Yes" to bankruptcy requires additional information; underwriting can approve the risk after review (see Bankruptcy Guidance below).
- A "Yes" to arson or fraud results in a declination, unless the client can provide a robust justification, in which case underwriting may review the file potential approval.

Protection Class, Flood & Earthquake

- All Protection Classes are eligible for the program.
- Flood is not a covered cause of loss on this program.
- Earthquake coverage may be purchased for an additional fee on the London Binding Facility in California only. It is not offered in any other state or on the Concert program.

ELIGIBLE PROPERTY & RENTAL TYPES

Authorized Classes of Business

- Vacation Rental Properties
- Vacation Rentals with incidental Long-Term rental exposure
- Vacation Rentals with incidental Event exposure
- Vacation Rentals with incidental other business exposure
- Vacation Rental Properties that become Long-Term Rentals*
- Vacation Rental Properties that become Personal Residences*
- Vacation Rental Properties that include Personal Residences

*Must have been insured through Proper while operating as a Short-Term rental and approved by Underwriting.

Eligible Property Types

Dwellings, condos, townhouses, cabins, cottages, bungalows, chalets, yurts, tepees, manufactured homes, and permanently placed RVs/airstreams/tiny homes (subject to underwriting review confirming the structure is plumbed in, adequately skirted or otherwise made permanent, and approved).

- Personal residences and outbuildings can be included if on the same or adjacent premises as the vacation rental.
- Personal residences may also offer private room rental in addition to the primary premises with underwriting approval, provided there are no interior shared spaces between unrelated parties.
- Shared spaces with a homeowner who lives in the rental and rents out a room are allowed, as long as the rental space is not also shared with other guests. The homeowner should avoid providing services to the client such as breakfast or other meals.
- Properties over water such as a houseboat are not eligible for this program.

Rental Term Definitions

- **Vacation Rental** — a property with an online listing typically rented nightly for up to one month; can extend to seasonal terms (e.g., summer shore rentals, ski season chalets).
- **Seasonal** — an exposure that spans the entire peak season of a vacation rental market (e.g., November–April in Vail, CO for ski season).
- **Short-Term Rental** — any stay of less than 90 days.
- **Mid-Term Rental** — stays between 90 and 180 days.
- **Long-Term Rental** — any rental longer than 6 months with a lease agreement in place.
- **Incidental Long-Term Rental** — a long-term rental at the same or adjacent premises as the short-term rental; acceptable if the renter provides evidence of personal renters insurance.
- A signed lease/rental agreement (manual or electronic) is required for all rentals.

CONSTRUCTION TYPE

- Proper has no restrictions on construction type at this time

Wildfire / Forest Fire Underwriting

- Proper does not write property coverage in Yosemite or Big Bear, CA.

States where every risk is underwritten for wildfire:

Alaska • Arizona • California • Colorado • Georgia • Idaho • Montana • Nevada • New Mexico • North Carolina • North Dakota • Oklahoma • Oregon • South Dakota • Tennessee • Texas • Utah • Washington • Wyoming

UNACCEPTABLE RISKS

The following are not eligible for the program:

- Hostels
- Traditional Bed & Breakfasts, where the owner/employee is an on-premise “host” serving breakfast, making beds, and hosting multiple unrelated parties sharing common areas
- Off-campus student housing
- Employee housing, such as oil-field or seasonal beach housing
- Shared Room / Shared Unit rentals
- Crash Pads — a location used by multiple unrelated parties/guests, typically rented to a corporation and used by its employees (e.g., an airline renting a home for pilots/flight attendants).
- Habitable structures over water are not acceptable risks.
- If a location is only accessible via a special mode of transportation, the risk is ineligible for the program. Unacceptable transportation includes snowcats, snowmobiles, ATV’s, and boats. Accessibility by boat may be considered if there are emergency services on the island.

ONLINE LISTING REQUIREMENTS

- An online listing is required for every client. When quoting, locate the listing via Airbnb, Vrbo, HomeAway, Flipkey, the Proper Managers website, or similar.
- New purchase without a listing yet: attach a link from Trulia, Realtor.com, or similar under “Other.” Pictures from public records and/or the insured are acceptable in the interim.
- Condo-hotel style buildings, large centrally rented apartment buildings, or newly constructed properties may use common building photos initially; photos of the actual unit are required within 30 days of binding.
- If a condo-hotel/resort-style listing is not unit-number specific, the file must document the accommodation type.

COVERAGE, LIMITS & VALUATION

Building Limit

- A minimum insured value per square foot applies to all habitational buildings, by zip code. Underwriting approval is required if the client wants to insure below this minimum.
- This per-square-foot minimum does not apply to condos or detached structures (e.g., garages).
- A cost estimator will be run on every account to – adjustments from the cost estimator tool will require underwriting approval

Contents & Business Income

- **Contents** — \$10,000 minimum; otherwise, limit is at the insured's discretion. Detached garages, storage buildings, and other outbuildings have no minimum for contents.
- **Business Income (BI)** — \$10,000 minimum BI per habitable building. Areas without rentable bedrooms do not require a BI limit (e.g., a detached garage with no rented bedroom carries a \$0 BI limit).

BUILDING SYSTEM REQUIREMENTS

Certain building systems are reviewed based on the age of the structure unless permitting, inspection records, or paid itemized invoices are provided. If a system does not meet criteria, the client must repair or replace it, or the account is subject to cancellation.

Roofing

- Must have been upgraded within the last 25 years, unless metal, slate, tile, or another material with a 25+ year manufacturer life expectancy.
- Metal or tile roofs not replaced within the last 30 years require an inspection to confirm quality.
- Quotes with Proper will include a data provider that confirms the roof age

Wiring

- Homes built before 1960 require either (1) written confirmation from the insured that the building was entirely re-wired, with an approximate year, supported by photos, OR (2) an electrical service report from a licensed electrician confirming no active knob-and-tube wiring, no cloth wiring, no active aluminum wiring, and no active fuse boxes.
- Knob & Tube wiring is not permitted.
- Cloth wiring may be permitted subject to inspection and certification by a qualified electrician.
- Aluminum wiring must be pigtailed.
- Fuses are not permitted.

Plumbing

- Homes built before 1960 require either (1) written confirmation from the insured that the building was entirely re-plumbed, with an approximate year, supported by photos, OR (2) a plumbing service check-up report from a licensed plumber.
- Polybutylene plumbing is not acceptable on the program.
- Plumbing inspections are required for homes built 1978–1996 in Texas, Florida, Arizona, California, Colorado, and Nevada to confirm no polybutylene plumbing is present.

Heating / HVAC

- Oil-fired heating systems over 20 years old require a written statement from a licensed service provider confirming good working order (an annual service/inspection report may suffice).
- Chimneys and flues for wood-burning stoves, fireplaces, and pellet stoves must be cleaned and inspected annually; these cannot be the primary heat source.
- Portable space heaters cannot be the primary heat source. Locations with only portable space heaters may receive underwriting approval subject to additional underwriting requirements (e.g., seasonal operations with acceptable winterization).

Definitions and acceptability pertaining to Renovations & Course of Construction

- Cosmetic Updates & Renovations – interior or exterior modifications that are aesthetic in nature and do not structurally modify the building being insured. This includes painting, new flooring, replacing cabinets, fixtures, etc. These are acceptable but should be presented to the underwriters prior to binding or prior to the start of updates/renovations accompanied by an estimated timeline for completion.
- Major Renovations — wall removal or addition, or other structural (rather than aesthetic) changes representing greater than a 30% change to Coverage A must be submitted to the underwriters for consideration.
- Course of Construction — ground-up construction. This type of risk should obtain a builder's risk policy and move to Proper when the course of construction ends and BPP/contents are ready to be moved into the structure.

SAFETY REQUIREMENTS

Smoke & Carbon Monoxide Detectors

- Smoke detectors must be installed at each stairwell and in all bedrooms/sleeping areas. Battery-operated units are only permissible in structures under \$2.5M TIV. All units must be properly maintained.
- Carbon monoxide detectors must be installed on each floor and near all mechanical rooms. Battery-operated units are permissible but must be properly maintained and replaced every 5–7 years.

Fire Extinguishers

- A fire extinguisher must be readily available in the kitchen.
- A fire extinguisher must be readily available wherever there is a fireplace or wood-burning stove or pellet stove.

Handrails, Guardrails & Stairways

- Stairways with 3+ risers (or as otherwise required at underwriting discretion) must have a handrail or guardrail.
- Any drop-off greater than 36 inches (or as required at underwriting discretion) must be protected by a guardrail.
- Risks on or adjacent to a cliff are ineligible unless the exposure can be mitigated with an approved guardrail, subject to underwriting review.

Lofts & Bunk Beds

- Ladders to access a loft or bunk bed are acceptable and subject to additional GL premium.
- Lofts must be underwritten for appropriate safety barriers. Additional photos may be required to confirm adherence with underwriting requirements.
- Bunk beds are acceptable as long as the bunk bed has a dedicated ladder and a guardrail on the top bunk to prevent falls. If the bunk bed has multiple levels, every level above the lowest bunk must have a guardrail. Additional photos may be required to confirm adherence with underwriting requirements.

Pools, Hot Tubs & Water Features

- Pool and/or hot tub safety rules must be posted at the entrance and within the pool/hot tub area, and "Swim at Your Own Risk" signage must be posted.
- Water depth markings and no-diving signage must be clearly visible on pool sides, and rescue safety equipment must be located at the swimming area.
- Pools with diving boards and/or slides are not permitted (commercial-grade pool slides may be reviewed for approval); rope swings and slides into bodies of water are not permitted.
- Information regarding pool fencing will be gathered on all accounts with pools beginning on 5/1/2026.

Other

- Elevators in a personal residence require an annual inspection confirming good working order.
- Surveillance devices other than a ring-style front doorbell camera monitoring public space are excluded — this exclusion is disclosed to clients in the proposal and annually in the policy delivery email.
- Emergency information (911, owner/manager phone number, and location address) should be posted clearly near a central phone or high-visibility location/primary exit.
- All outbuildings, docks, other structures, and decks must be well-constructed, in good repair, and on a regular maintenance/inspection schedule.

AMENITIES & RECREATIONAL EQUIPMENT

The rental agreement must include a waiver for any recreational facilities/equipment available to renters, and instructions for use should be posted or included in the agreement.

Acceptable Amenities

- Bicycles (helmets must be provided)
- Exercise equipment
- Hot tubs
- Swimming (pool, pond, beach, river, or similar) subject to the safety requirements above
- Watercraft: canoes, rowboats, kayaks, rafts, paddle craft; motorboats under 10 HP; sailboats under 18' — life jackets/flotation devices required for each occupant
- Yard games (volleyball, badminton, cornhole, horseshoes, etc.)
- Other amenities/equipment not listed require underwriter approval

Disqualifying / Unacceptable Amenities

The following are ineligible for coverage unless removed from the property:

- Diving boards
- Pool/dock slides (commercial-grade slides may be reviewed for approval)
- Rope swings hanging from trees or into water
- Hammocks or swings connected to a tree branch
- Trampolines (traditional and water)
- Ziplines and climbing walls
- Inflatable amenities, including stand-up paddle boards, rafts, tubes, and floats
- Horseback riding
- Use of the insured's ATV or snowmobiles
- Guided activities such as fishing, hunting, skiing, or touring
- Winter activities such as sledding and ice skating
- Target shooting, firearms, or archery
- Skateboards and scooters

Other "one-off" amenities may be reviewed by underwriting and could be deemed ineligible based on the property's active online listing.

The binding application includes UW questions on items like pools, hot tubs, and small watercraft — none of which disqualify a client outright, but may require additional steps (depth markers, life jackets, signage, liability waivers in the rental agreement, etc.) before policy delivery. Many items can be completed post-binding. Familiarize yourself with the application so you can raise these with clients early.

INCIDENTAL BUSINESS ON PREMISES

An incidental business is one operating from the same location as the short-term rental. Underwriting reviews the type of business, foot traffic, proximity, and overlap with the STR.

- Acceptable: low/no foot-traffic, digital-based businesses and professional services (accountant, realtor, digital marketing, consultant, etc.)
- All other business types are reviewed by underwriting.
- Ineligible: bars, restaurants and other food-based establishments; operations offering overnight accommodations alongside other attractions/amenities (youth camps, breweries/wineries, recreation facilities); any location where the STR is incidental to a primary business.
- If there is any foot traffic, the applicant must provide evidence of insurance for the other business operation.

Questions Asked When “Other Business” Is Marked Yes

- Description and type of the other business, and whether there is foot traffic
- Whether insurance is in place for the other business
- Whether the other business has employees and carries workers’ comp coverage elsewhere — if it has employees

EVENTS AT THE PROPERTY

An event is a temporary gathering designed for a purpose other than an overnight stay (e.g., weddings, retreats, corporate team building). Accounts with more than 10 events annually, or more than 20% of income from events, are typically unacceptable risks.

Questions Asked When Events Are Advertised

- Number of events hosted last year and projected this year (underwriting looks for fewer than 10)
- Number of event-days per year, and whether events are multi-day
- Types of events allowed (weddings, conferences, retreats, seminars, corporate team building, etc.)
- Average and maximum number of guests at an event (double the sleeping capacity is the starting point for flagging a large event)
- Whether the host provides services directly (caterers, bartenders, entertainers, planners, tables/chairs/linens, photography, valet, etc.) — not allowed unless provided through a separate LLC with its own business insurance
- Whether the client carries separate event liability insurance, or requires renters/vendors to provide proof of insurance
- Whether the property is ever rented simultaneously to unrelated parties (e.g., a barn and main house rented to separate groups at once)
- Percentage of overall income from events vs. overnight accommodations in the prior year

PRIOR LOSS HISTORY & CLAIMS REVIEW

All prior property and general liability claims are reviewed and subject to underwriting approval. Claims history may result in a higher premium if disclosed after the receipt of a quote.

BANKRUPTCY, FRAUD & ARSON GUIDANCE

When a client marks “Yes” to bankruptcy, underwriting determines the type and timing of the filing:

- **Chapter 7 (Liquidation)** — debts discharged through liquidation of non-exempt assets, typically completed in 3–6 months; stays on credit report 10 years. Acceptable only if discharged/completed — confirm the discharge date.
- **Chapter 13 (Repayment Plan)** — debts reorganized into a 3–5 year court-approved repayment plan while the individual retains assets and makes payments; stays on credit report 7 years. Acceptable.
- **Chapter 11 (Reorganization)** — rare for individuals; used when debt exceeds Chapter 13 limits, typically by high-net-worth individuals or real estate investors. Acceptable.

A “Yes” to arson or insurance fraud results in decline. If the client can provide a robust justification, the file may be referred to senior underwriting for potential approval.

PAYMENT INFORMATION

Proper accepts the following payment types on the program:

- Broker or Insured Check
- EFT
- Escrow (not applicable/available for GL-only accounts or re-rents)
- Financed through IPFS arranged by Proper Insurance (we cannot accept finance agreements through brokers)

Risks cancelled for non-payment of premium are referred to underwriting prior to rewriting the account.

State Required Forms

Certain states require forms to be completed by the insured or the broker. We will provide links to these forms with binding applications when a form is required prior to binding coverage, or when the policy is issued if the form is required within the first 30 days of the policy effective date.

- California – if the insured location is in the state of California the insured must complete and sign the California D-1 Notice PRIOR to the initial policy being bound. The Broker must complete and sign a California SL-2 form PRIOR to coverage being bound on a new policy and PRIOR to the issuance of any renewal policy.
- Connecticut – if the insured location is the state of Connecticut the insured must sign and return the Surplus Lines Statement (Form SL- 8) annually within 30 days of the policy effective date.
- Florida – if the insured location is in the state of Florida, the insured must complete the Florida Surplus Lines Disclosure and Acknowledgement annually within 30 days of the policy effective date.
- Massachusetts – if the insured location is in the state of Massachusetts the insured must complete and sign the MA Form BR-7 Affidavit by Assured annually within 30 days of the policy effective date.
- New York – if the insured location is in the state of New York a NY Part C must be completed by the broker prior to coverage being bound. We must provide a NELP (Notice of Excess Line Placement) to the insured as part of the policy delivery. It is requested that the insured electronically sign and return the NELP within 30 days of the policy effective date.
- Oregon – if the insured location is the state of Oregon, the OR Diligent Search Statement Form must be completed by the broker annually and submitted within 30 days of the policy effective date.